

Form No.HCJD/C-121
ORDER SHEET
IN THE LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT

Customs Reference No. 256450 of 2018

Ibrahim
vs
Customs Appellate Tribunal & 2 others

S.No. of Order/ Proceeding	Date of order/ proceeding	Order with signature of Judge and that of parties or counsel where necessary
----------------------------------	---------------------------------	---

19.02.2019. Mian Abdul Bari Rashid, Advocate for petitioner.
Mr. Izhar-ul-Haq Sheikh, Advocate for respondents.

Through this Customs Reference filed under Section 196 of the Customs Act, 1969 ("Act"), the petitioner has called in question judgment/order dated 01.10.2018 passed by the Customs Appellate Tribunal Bench-I, Lahore, ("Appellate Tribunal") whereby the appeal filed by the petitioner was dismissed.

2. The allegation against the petitioner is that on 08.08.2017 Hino Truck bearing Registration No.TAB,112/Lasbella, loaded with smuggled/non duty paid miscellaneous goods concealed under iron/steel scrap, was intercepted by the Seizing Agency while destined for Lahore from Quetta under the garb of built-up issued by M/s. Sitara-al-Masood Khan Goods Transport Company, Quetta reflecting full load iron scrap and GD showing import of iron and steel remeltable scrap. The Seizing Agency vide order dated 08.08.2017 seized the smuggled goods alongwith the truck under Section 168 and 157 of the Act. The adjudicating authority ordered for outright confiscation of the said goods. The petitioner challenged the afore referred order before the appellate tribunal by filing an appeal which was

dismissed vide order dated 01.10.2018. The petitioner has called in question the afore referred order passed by the Appellate Tribunal on the ground that the Appellate Tribunal could not dismiss his appeal without determining the allegation that the said vehicle was involved in a wholly and exclusively manner for transportation of smuggled goods and consequently could not maintain the order of the adjudicating authority to outrightly confiscate the same under Clause 89(i) of Section 156(1) and 157(2) of the Act read with Clauses "a" and "b" of the preamble of SRO No.499(I)/2009 dated 13.06.2009.

3. We have gone through the impugned judgment/order passed by the Appellate Tribunal, the operative part of which is reproduced below:

"From the perusal of the said reply, it reveals that the alleged GD No.QCHM-HC-390 dated 11.07.2017 was fabricated by the appellants in order to cover up the impugned goods, as lawfully imported into the country. It is also astonishing to note that the Registration number of the said vehicle was also entered in the impugned GD to show that the impugned goods have been loaded in a vehicle whose registration was TAB-112/Lasbella. M/s. Usman Steel Mills (importer), as per recovered GD has submitted that neither he had filed the GD nor had paid any duty and taxes against the same. It is very much clear from the record that the seized goods are smuggled one and the present appellant has fabricated the GD in the name of M/s. Usman Steel Mills (importer) to misuse the same and an attempt has been made to transport the smuggled goods under the cover of the said GD."

4. Perusal of the afore referred impugned order shows that the Appellate Tribunal, while dismissing the petitioner's appeal against order of confiscation of truck, has not decided the issue raised through show cause notice that vehicle in question was involved in a wholly

and exclusively manner for transportation of smuggled goods, which was a finding to be reached after determination of the facts of the case. The Appellate Tribunal is the last facts finding forum and has to exercise its jurisdiction diligently to decide an issue on the basis of facts arrived at before it after discussing the record relating to the facts. The failure of the Tribunal to exercise its vested jurisdiction relating to determination of facts would be tantamount to a question of law. Reliance in this regard is placed on Commissioner Inland Revenue vs. M/s. Mehran Traders (2015 PTD 1330) and Commissioner of Income Tax, Companies Zone-II, Karachi vs. M/s. Sindh Engineering (Pvt.) Ltd, Karachi (2002 SCMR 527 = 2002 PTD 419). In the given circumstances, the question of law necessarily arises that "whether Appellate Tribunal has exercised its jurisdiction in accordance with law?" Our answer to the question is in the *negative*.

5. For what has been discussed above, the impugned order is *set-aside* and the matter is *remanded* back to the Appellate Tribunal for deciding the same within a period of 30 days from receipt of the order of this Court by determining the issue relating to the truck being involved in a wholly and exclusively manner for transportation of smuggled goods. Office is directed to transmit a copy of this order to the Appellate Tribunal in accordance with law.

6. The reference is *allowed* in the foregoing terms.

(SHAHID JAMIL KHAN)
JUDGE

(MUZAMIL AKHTAR SHABIR)
JUDGE